Accounts Receivable Aging Analysis Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Accounts Receivable Aging Schedule — FY2025
Source File	meridian_ar_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	ARA-2026-1023-202
Generated	23rd October 2026
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Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

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Period Tested ... FY 2025 (January 1 – December 31, 2025)
TB Accounts Analyzed ............................... 0
Analysis Mode ..................... TB-Only (Structural)
Tests Applied ..................................... 11
Data Quality Score ................................ 93%
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The automated accounts receivable aging analysis procedures documented in this workpaper were performed on the accounts receivable aging detail provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	93%
Column Confidence	90%
Tests Executed	11
Tests Clear	3
Items for Review	17

II. Methodology

The following automated tests were applied to the accounts receivable trial balance and sub-ledger data in accordance with professional auditing standards (ISA 500: Audit Evidence, ISA 540: Auditing Accounting Estimates — receivables valuation and expected credit loss estimation, PCAOB AS 2501: Auditing Accounting Estimates). Results represent receivables anomaly indicators, not allowance sufficiency conclusions:

Test	Tier	Description
Sign Anomalies	Structural	Flags receivable entries with debit balances where a credit is expected, or credit balances in contra-receivable accounts where a debit is expected, indicating potential mispostings.
Missing Allowance	Structural	Checks for the existence of an Allowance for Doubtful Accounts (contra-AR), required under IFRS 9 / ASC 326.
Negative Aging Buckets	Structural	Identifies aging buckets with negative balances, which may indicate unapplied credits, overpayments, or data entry errors in the subledger.
Unreconciled Detail	Structural	Compares the AR sub-ledger total to the TB AR balance to identify unreconciled differences.

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Test	Tier	Description
Aging Bucket Concentration	Statistical	Flags disproportionate concentration of total AR balance in a single aging bucket (e.g., >70% current), which may indicate manual aging overrides or inaccurate aging calculations.
Past-Due Concentration	Statistical	Flags elevated past-due receivables as a proportion of total AR, an indicator of collection risk.
Allowance Adequacy Ratio	Statistical	Computes the allowance for doubtful accounts as a percentage of gross AR and compares to industry benchmarks, flagging ratios below the configured threshold as an allowance-coverage anomaly indicator under ASC 326. Sufficiency of the allowance estimate is an auditor judgment; this test surfaces a quantitative signal only.
Customer Concentration	Statistical	Flags single customers representing a disproportionate share of total receivables (credit concentration risk).
DSO Trend Variance	Statistical	Computes days sales outstanding from the AR balance and period revenue, then compares to prior period or industry benchmark; flags material deviations as a collection risk or revenue recognition indicator.
Roll-Forward Reconciliation	Advanced	Tests the AR roll-forward: beginning balance + revenue - collections should approximate ending AR balance.
Credit Limit Breaches	Advanced	Flags customers whose outstanding balance exceeds their approved credit limit.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

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Composite Diagnostic Score ................. 19.8 / 100
Diagnostic Tier ..................... MODERATE (20/100)
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Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

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Total AR Items Flagged ............................ 17
Overall Flag Rate ................................ 4.5%
High Severity Flags ................................ 5
Medium Severity Flags .............................. 12
Low Severity Flags ................................. 0
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Test	Flagged	Rate	Severity
Past-Due Concentration	4	1.1%	MEDIUM
Sign Anomalies	3	0.8%	MEDIUM
Credit Limit Breaches	3	0.8%	HIGH
Negative Aging Buckets	2	0.5%	MEDIUM

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Test	Flagged	Rate	Severity
Customer Concentration	2	0.5%	MEDIUM
Unreconciled Detail	1	0.3%	HIGH
Allowance Adequacy Ratio	1	0.3%	HIGH
DSO Trend Variance	1	0.3%	MEDIUM
Missing Allowance	0	0.0%	LOW
Aging Bucket Concentration	0	0.0%	LOW
Roll-Forward Reconciliation	0	0.0%	LOW

IV. Key Findings

1. Allowance-to-receivable ratio of 2.1% — below industry benchmark of 3-5%

2. 3 customers exceeding credit limits (totaling $142,000 over-limit)

Suggested follow-up: Review customers exceeding credit limits for continued creditworthiness and collection outlook.

3. TB-to-sub-ledger reconciling difference of $8,450

4. 4 past-due accounts representing 28% of receivables balance

Suggested follow-up: Review past-due accounts for collection activity and assess recoverability.

V. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 310-10	Receivables — Overall	Current
FASB	ASC 326-20	Financial Instruments — Credit Losses (CECL)	Current

VI. Conclusion

Based on the automated AR aging analysis procedures applied, the accounts receivable data returned MODERATE flag density across the automated tests. Flagged items warrant focused review as receivables anomaly indicators, particularly aging concentration and allowance adequacy metrics.

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Limitations

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This memo documents automated accounts receivable aging analysis testing procedures with reference to ISA 500 (Audit Evidence) and ISA 540 (Auditing Accounting Estimates). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.